# Game Theory & Behavioral Models in Business and Finance

*A practitioner's reference: 22 models, what they actually explain, and when to deploy them.*

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## I. Strategic Interaction

### 1. Prisoner's Dilemma (Repeated)

**Core logic.** Two players each choose to cooperate or defect. Mutual cooperation yields the best joint outcome, but each player has an individual incentive to defect — producing a collectively worse equilibrium.

In the one-shot version, defection is dominant and the outcome is fixed. The repeated version is where the model becomes operational. When the game has no known endpoint, strategies like tit-for-tat (cooperate first, then mirror) sustain cooperation by making defection costly over time. The shadow of the future disciplines present behavior.

**Business applications.** Price wars between duopolists (airlines, telecom) follow this structure exactly: both would profit from restraint, but undercutting is individually tempting. Cartels are cooperative equilibria in repeated prisoner's dilemmas — OPEC production quotas work precisely until the shadow of the future shortens. Supplier relationships exhibit the same dynamic: a procurement team that squeezes suppliers in a one-shot frame may get a better unit price today and worse reliability forever.

**Key insight.** The critical variable is the discount rate on future payoffs. When players value the long run (low discount rate, ongoing relationship, reputation effects), cooperation emerges. When the horizon shortens — a CEO nearing retirement, a firm nearing bankruptcy — cooperation collapses.

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### 2. Nash Bargaining

**Core logic.** Two parties negotiate over a surplus. The Nash bargaining solution predicts that the split depends on each party's outside option (BATNA), patience, and risk tolerance. The surplus is divided in proportion to relative bargaining power, which is a function of what each side loses by walking away.

**Business applications.** Salary negotiation is a Nash bargaining problem: the surplus is the difference between the value the employee creates and their next-best alternative. Vendor contract renewals, joint venture profit-sharing, and M&A price negotiations all reduce to this framework. Deal structuring in PE (earn-outs, ratchets, preference waterfalls) is Nash bargaining with multiple parameters.

**Key insight.** Your ask is irrelevant. Your BATNA is everything. The negotiator who can most credibly walk away captures the larger share of the surplus. This is why raising your outside option (getting a competing offer, developing an alternative supplier) is more effective than better argumentation.

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### 3. Cournot & Bertrand Competition

**Core logic.** Cournot: firms choose quantities simultaneously; the market price adjusts. Bertrand: firms choose prices simultaneously; consumers buy from the cheapest. In Cournot equilibrium, firms produce less than the competitive quantity and earn positive margins. In Bertrand equilibrium with homogeneous goods, two firms are sufficient to drive price to marginal cost.

**Business applications.** Commodity industries (steel, cement, bulk chemicals) approximate Cournot — capacity decisions determine market dynamics. Differentiated consumer goods, SaaS, and professional services approximate Bertrand — price competition is direct but softened by product differentiation. Understanding which model fits your industry tells you whether the primary strategic lever is capacity discipline (Cournot) or differentiation (Bertrand).

**Key insight.** In Cournot worlds, adding capacity destroys industry margins for everyone. In Bertrand worlds, having even slightly differentiated products unlocks pricing power. Most strategic errors come from playing Cournot strategies in a Bertrand industry or vice versa.

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### 4. Entry Deterrence (Stackelberg)

**Core logic.** An incumbent moves first, committing to a level of capacity or aggression that makes entry unprofitable. The entrant observes this commitment and decides whether to enter. Credible commitment — investment that is visibly sunk and irreversible — is the mechanism. If the incumbent can bluff costlessly, the deterrence is empty.

**Business applications.** Predatory pricing (pricing below cost to signal willingness to fight), building excess capacity, aggressive patenting, and locking up distribution channels are all entry deterrence tactics. Amazon's persistent low-margin strategy in retail deters entry by signaling an extremely long payback tolerance. Incumbents filing defensive patents aren't necessarily extracting licensing revenue — they're raising the cost of entry.

**Key insight.** Deterrence only works if the commitment is costly and observable. A bluff that can be called is worse than no bluff at all, because it reveals weakness. The question to ask of any incumbent's aggressive posture is: what have they actually sunk?

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### 5. Chicken (Brinkmanship)

**Core logic.** Two players drive toward each other. Each can swerve (yield) or drive straight (escalate). If both drive straight, mutual destruction. If one swerves and the other doesn't, the one who holds firm wins. The equilibrium is in mixed strategies — or in credible commitment devices that remove your own ability to swerve.

**Business applications.** Hostile takeover bids where both sides threaten scorched-earth tactics. Debt ceiling negotiations between Congress and the executive. Union strike negotiations. Proxy fights. In each case, the player who can most credibly remove their own exit option — by making a public commitment, burning bridges, or delegating authority to an agent with no flexibility — gains leverage.

**Key insight.** Rationality demands that someone swerve. The strategic advantage goes to whoever can appear most irrationally committed. This explains why negotiators hire aggressive lawyers, why companies adopt poison pills, and why political actors make public statements that bind them to extreme positions.

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## II. Auctions & Pricing

### 6. Winner's Curse (Common-Value Auctions)

**Core logic.** When bidders compete for an asset whose true value is uncertain but common to all (an oil lease, a company in an M&A auction), the winning bidder is by definition the one who most overestimated the value. Winning is itself evidence that you overpaid.

**Business applications.** M&A is the canonical high-stakes example: study after study shows that acquiring firms destroy shareholder value on average, and competitive auctions amplify the effect. IPO allocation, spectrum auctions, and even hiring bidding wars for executive talent all exhibit the curse. The cure is straightforward but psychologically difficult: shade your bid downward from your estimate in proportion to the number of competitors.

**Key insight.** The winner's curse is not a cognitive bias — it is a structural feature of common-value auctions. Even fully rational bidders must adjust for it. The practical implication is that the more competitors in an auction, the more aggressively you should discount your valuation.

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### 7. Vickrey Auction (Second-Price, Sealed-Bid)

**Core logic.** Bidders submit sealed bids; the highest bidder wins but pays the second-highest bid. Under these rules, each bidder's dominant strategy is to bid their true valuation — there is no benefit to shading up or down. This is a mechanism design result: the auction format itself induces truthful revelation.

**Business applications.** Google's ad auction (Generalized Second Price) is the highest-volume commercial application. Procurement auctions structured as second-price reverse auctions extract truthful cost information from suppliers. Understanding Vickrey logic matters for anyone designing allocation mechanisms — from internal capital budgeting processes to charity auctions.

**Key insight.** The format of the game changes player behavior. This is the foundational lesson of mechanism design: if participants aren't behaving the way you want, the first question is whether the rules incentivize the behavior you're observing.

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## III. Information & Signaling

### 8. Spence Signaling

**Core logic.** When one party has private information about their quality and cannot directly prove it, they can invest in a costly signal that is cheaper for high-quality types to produce. Education is the original example: if talented individuals find degrees easier to obtain, then a degree separates high- from low-ability workers — even if the education itself adds no productive skill.

**Business applications.** The CFA and MBA as career credentials are signaling devices — their value is not only in the content learned but in the cost paid to obtain them, which credibly separates candidates. IPO underpricing signals issuer quality (only strong firms can afford to leave money on the table). Dividend payments signal cashflow stability (only cash-rich firms can commit to regular payouts without distress). Share buybacks signal management's belief that shares are undervalued.

**Key insight.** A signal works only if it is differentially costly. If everyone can send it cheaply, it conveys no information. When a credential or action becomes too easy to obtain (grade inflation, participation trophies, everyone getting an MBA), its signaling value collapses and a new, costlier signal replaces it.

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### 9. Akerlof's Market for Lemons (Adverse Selection)

**Core logic.** When sellers know more about quality than buyers, high-quality sellers withdraw because they cannot get a fair price — buyers, fearing lemons, only pay the average-quality price. This unraveling can destroy markets entirely.

**Business applications.** Insurance markets: healthy individuals opt out of overpriced pools, leaving insurers with an adversely selected book. Credit markets: banks that cannot distinguish good borrowers from bad charge rates that drive good borrowers elsewhere. Secondary PE fund stakes trade at discounts partly because sellers are assumed to be offloading weaker holdings. The used-car market is the textbook case, but the financial applications are higher-stakes and less well-solved.

**Key insight.** Information asymmetry does not merely create inefficiency — it can cause complete market failure. The solutions (warranties, credit ratings, due diligence, regulation) all work by reducing the information gap or by creating mechanisms for quality revelation.

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### 10. Moral Hazard (Principal-Agent Problem)

**Core logic.** When one party (the agent) takes actions on behalf of another (the principal) and the principal cannot perfectly observe those actions, the agent may take risks or exert less effort than the principal would prefer — especially when the agent captures upside but the principal bears downside.

**Business applications.** Executive compensation is the defining case: stock options create convex payoffs that reward risk-taking. Fund managers with performance fees and no clawbacks have moral hazard built into their contracts. Too-big-to-fail institutions that expect government bailouts face a systemic moral hazard — the bailout expectation is an implicit put option on catastrophic risk. Even simple employment relationships exhibit moral hazard: the employee has information about their effort that the employer cannot fully verify.

**Key insight.** Moral hazard is a contract design problem. The solutions — clawbacks, co-investment requirements, deferred compensation, monitoring — all attempt to align the agent's incentives with the principal's by making the agent share in the downside.

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## IV. Coordination & Herding

### 11. Bank Run (Diamond-Dybvig)

**Core logic.** A bank holds illiquid assets funded by liquid deposits. If depositors believe others will withdraw, it is rational for each individual to withdraw early — even if the bank is solvent. The run is a self-fulfilling prophecy: the collective action of rational individuals destroys the institution.

**Business applications.** Silicon Valley Bank (2023) and Northern Rock (2007) are textbook cases. Money market fund redemption crises (Reserve Primary Fund, 2008) follow the same structure. Prime brokerage relationships exhibit bank-run dynamics: if hedge funds believe a prime broker is weakening, they pull balances, which weakens the broker further. More broadly, any business that relies on confidence-sensitive funding — including commercial paper markets and repo — is structurally vulnerable.

**Key insight.** The underlying solvency of the institution is not the only relevant variable. Liquidity, maturity transformation, and the coordination problem among creditors can destroy a solvent entity. Deposit insurance and central bank lending facilities exist precisely to break this coordination failure.

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### 12. Keynesian Beauty Contest

**Core logic.** Players do not pick the option they believe is best. They pick the option they believe others will pick. In iterative reasoning, each layer of "what do they think I think they think" pushes toward the same focal point. In Keynes's original framing, you don't pick the prettiest face — you pick the face you think the average person thinks is prettiest.

**Business applications.** Financial markets are a perpetual beauty contest. Stock prices reflect not just fundamentals but expectations about expectations. Momentum strategies work because traders buy what they expect others to buy. Speculative bubbles form when the beauty-contest logic detaches from fundamentals entirely — everyone knows the asset is overvalued, but everyone expects everyone else to keep buying. Market timing is an attempt to win a beauty contest by guessing when consensus will shift.

**Key insight.** Reflexivity — the fact that beliefs about the market affect the market — is not a distortion. It is the permanent structure of any market with heterogeneous participants and uncertain fundamentals. Analytical models that ignore what other participants believe are missing the most important variable.

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### 13. Information Cascades (Herding)

**Core logic.** When agents act sequentially and can observe predecessors' actions (but not their private information), it can become rational to ignore one's own signal and follow the crowd. Once a cascade starts, no new information enters the public pool, and the entire sequence can be wrong.

**Business applications.** Analyst recommendation clustering: once two or three analysts issue a buy rating, subsequent analysts face career risk from deviating and informational pressure to conform. VC follow-on rounds: a lead investor's commitment triggers a cascade of co-investors who rely partly on the lead's diligence rather than their own. IPO demand: bookbuilding creates sequential revelation that can generate artificial cascade-driven oversubscription. Herding among fund managers contributes to correlated positioning and crowded trades.

**Key insight.** Cascades are informationally fragile — they can be shattered by a single credible contrarian signal. This is why short-seller reports, whistleblower disclosures, and unexpected earnings misses can trigger abrupt reversals. The cascade looks like consensus but is built on conformity rather than converging independent evidence.

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## V. Behavioral & Psychological

### 14. Prospect Theory (Kahneman-Tversky)

**Core logic.** People evaluate outcomes relative to a reference point, not in absolute terms. Losses loom larger than equivalent gains (loss aversion, approximately 2:1). People are risk-averse in the domain of gains but risk-seeking in the domain of losses. Small probabilities are overweighted; moderate-to-high probabilities are underweighted.

**Business applications.** The disposition effect — investors sell winners too early (locking in a gain in the risk-averse domain) and hold losers too long (gambling in the risk-seeking domain) — is the most documented application. The equity premium puzzle (stocks deliver far more than bonds can justify by standard risk models) is partly explained by loss aversion making investors demand excessive compensation for bearing downside. In wealth management, client risk behavior around reference points (purchase price, portfolio high-water mark) systematically deviates from what a mean-variance framework predicts.

**Key insight.** Reference points are the operating variable. Framing the same outcome as a gain versus a loss changes behavior. This applies to negotiation (framing a concession as avoiding a loss rather than forgoing a gain), product pricing (anchoring to a higher reference price), and performance reporting (choosing the benchmark determines whether the client feels they won or lost).

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### 15. Ultimatum Game & Fairness Norms

**Core logic.** One player proposes a split of a sum; the other accepts or rejects. Rejection means both get nothing. Rational self-interest predicts that any positive offer should be accepted, and proposers should offer the minimum. In practice, offers below roughly 30% are frequently rejected, and the modal offer is 40–50%. People punish perceived unfairness at personal cost.

**Business applications.** Fee negotiations: a client who perceives an advisory fee as unfair may reject a deal that is objectively value-accretive, because the split feels wrong. Final-offer arbitration: the existence of a fairness-enforcing mechanism changes both parties' proposals toward the center. Compensation benchmarking: employees who discover they are paid below peers (even if paid well in absolute terms) experience a fairness violation that affects retention and effort. Vendor pricing: suppliers who gouge during scarcity face reputational punishment that exceeds the short-term gain.

**Key insight.** Fairness is not a soft constraint — it is a binding one. Business models that depend on participants accepting objectively rational but subjectively unfair terms will face unexpectedly high resistance. The emotional cost of unfairness is real and priced in.

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## VI. Commitment & Attrition

### 16. Stag Hunt (Coordination Game)

**Core logic.** Two hunters can pursue a stag (which requires cooperation) or a hare (which can be caught alone). Hunting the stag is the payoff-dominant equilibrium, but hunting the hare is the risk-dominant equilibrium — it guarantees a meal regardless of the other player's action. The stag hunt is distinct from the Prisoner's Dilemma: there is no temptation to defect. The only barrier is trust.

**Business applications.** Syndicated lending: each bank commits capital only if it believes the syndicate will fill. Industry standard-setting (USB, 5G, accounting standards) requires coordinated adoption — no single firm benefits from adopting a standard alone. Consortium R&D (SEMATECH in semiconductors, Airbus in its early years) fails not from betrayal but from insufficient confidence that others will co-invest. Alliance formation in any context where joint commitment is needed but unenforceable.

**Key insight.** The stag hunt is the trust game. The failure mode is not selfishness but uncertainty about others' intentions. Solutions are mechanisms that build confidence:

phased commitment, escrow structures, lead-investor demonstration, and public pledges that reduce ambiguity about others' choices.

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### 17. War of Attrition

**Core logic.** Two players invest resources over time, each waiting for the other to concede. The longer both stay in, the more both lose. The winner gets the prize minus their accumulated costs; the loser gets nothing minus their accumulated costs. In a symmetric war of attrition, the expected payoff to both players is zero — the contest dissipates the entire value of the prize.

**Business applications.** Patent litigation between well-resourced firms: both sides burn legal fees until one calculates that continued spending exceeds the patent's value. Startup cash-burn races: ride-sharing, food delivery, and other winner-take-most markets saw firms subsidizing below cost for years, each waiting for competitors to run out of funding. Hostile takeover defense: bid-revision cycles where both acquirer and target incur rising advisory fees. Price wars that persist beyond the point of rationality due to sunk-cost escalation.

**Key insight.** The rational move in a war of attrition is often to concede early — but sunk-cost psychology, ego, and public commitment make exit psychologically difficult. Recognizing the structure early (before costs accumulate) is the primary strategic advantage. Once you are deep in, the sunk costs create their own gravity.

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### 18. Hold-Up Problem

**Core logic.** Once a party makes a relationship-specific investment (one that has little value outside the relationship), the counterparty can renegotiate terms, knowing the investor cannot walk away without losing the sunk investment. The anticipation of hold-up discourages efficient investment in the first place.

**Business applications.** Vertical integration decisions: firms integrate upstream or downstream specifically to avoid hold-up by suppliers or distributors with monopoly power over a critical input. Supplier lock-in: an auto manufacturer that tooled a factory for a specific supplier's components is vulnerable to renegotiation. PE platform acquisition strategy: bolt-on acquisitions create relationship-specific synergies that the platform captures by controlling the exit. Long-term employment contracts and golden handcuffs exist to prevent hold-up in either direction (the employer holds the employee up for below-market pay, or the employee holds the employer up for above-market pay by threatening departure at a critical moment).

**Key insight.** Incomplete contracts cannot specify every contingency. Where they fail, the party with the more specific investment bears the risk. This explains why control rights (board seats, veto provisions, change-of-control clauses) are often more important than price terms — they determine who holds power when the unforeseen happens.

## VII. Game Design & Meta-Strategy

### 19. Mechanism Design (Revelation Principle)

**Core logic.** Mechanism design is "inverse game theory": instead of analyzing behavior in a given game, it asks what game to construct so that participants' self-interested behavior produces the desired outcome. The Revelation Principle states that any outcome achievable by any mechanism can also be achieved by a direct mechanism in which participants truthfully reveal their private information.

**Business applications.** Compensation structure design: how do you design a bonus scheme so that a portfolio manager's self-interest aligns with long-term fund performance? Auction format selection: should you use English, Dutch, sealed-bid, or Vickrey? Each format produces different bidding behavior and revenue outcomes. Internal capital allocation: how do you structure a budgeting process so that division heads truthfully reveal project expected returns rather than inflating them? Regulatory architecture: market microstructure rules (order types, tick sizes, circuit breakers) are mechanism design choices that shape participant behavior.

**Key insight.** If people in your organization or market are behaving in ways you dislike, the mechanism is the first suspect — not the people. Changing incentives, information flows, or decision rights often accomplishes what exhortation, culture change, and monitoring cannot.

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### 20. Real Options

**Core logic.** An irreversible investment made under uncertainty has an option value to waiting. The right to invest later (preserving the option) is worth something — standard NPV analysis, which compares invest-now versus never-invest, misses this. The value of the option increases with uncertainty, time, and the ability to stage commitments.

**Business applications.** Stage-gate R&D: each phase is a call option on the next, and killing a project is exercising a put. Land banking: developers acquire options on land rather than buying outright, preserving flexibility as market conditions evolve. M&A earn-outs: structuring part of the purchase price as contingent on future performance is embedding a real option. Venture capital staging: each funding round is an option exercise, conditioned on information revealed since the prior round. Energy exploration: leases are options on drilling, which are options on development.

**Key insight.** DCF systematically undervalues projects with embedded flexibility and high uncertainty. Real options thinking shifts the question from "is the NPV positive?" to "what is the option worth, and what information would change our decision?" This makes the timing and staging of investment a first-order strategic variable, not an afterthought.

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### 21. Schelling Focal Points

**Core logic.** When players must coordinate without communication, they gravitate toward solutions that are salient — prominent, natural, or obvious by shared context. There is nothing inherently optimal about the focal point; its power comes from mutual expectation.

**Business applications.** Why LIBOR became the dominant benchmark rate: it was not objectively superior, but once enough contracts referenced it, switching costs created a self-reinforcing equilibrium. Contract default terms (30-day payment, 90-day notice periods) persist because they are focal, not because they are efficient. Round-number anchoring in negotiations: offers cluster at $10M, $50M, $100M not because those are more rational but because they are salient coordination points. Industry conventions — fiscal year-ends, earnings seasons, settlement cycles — are Schelling points that persist because coordinated deviation is costly even if the convention is arbitrary.

**Key insight.** Many features of business practice that appear purposefully designed are actually Schelling equilibria — historical accidents that persisted because everyone expected everyone else to continue following them. Understanding this prevents the error of assuming that current conventions are optimal and opens the space for deliberate standard-setting.

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### 22. Cheap Talk

**Core logic.** Communication is "cheap" when it is costless and unverifiable. The key question is when cheap talk is credible — and the answer is when the sender's and receiver's interests partially align. When interests diverge, rational receivers discount or ignore the message.

**Business applications.** Earnings guidance: management's forward-looking statements are cheap talk — costless to make and hard to verify ex ante. Markets discount guidance from companies with a track record of missing forecasts. Sell-side price targets: analysts' targets are cheap talk with reputational consequences but no direct cost. The persistent upward bias in targets reflects the structural misalignment between analyst incentives (maintain access, generate trading volume) and investor interests. Cheap talk is distinguished from costly signaling (#8): dividends cost cash, buybacks cost shares, but guidance costs nothing.

**Key insight.** The credibility of any communication is a function of the alignment between what the speaker wants and what the listener wants. When a real estate agent says "now is a great time to buy," or a banker says "this deal will close," the question to ask is: would they say the same thing if the opposite were true? If yes, the statement carries zero information.

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## VIII. Synthesis: How These Models Connect

The 22 models are not 22 independent tools. They form an interconnected system organized around a few recurring themes.

**Information is the master variable.** The largest cluster of models — signaling (8), adverse selection (9), moral hazard (10), cascades (13), cheap talk (22) — all revolve around who knows what, who can prove what, and how that asymmetry shapes behavior. In any business situation, the first diagnostic question is: what information is asymmetric, and whose behavior does it distort?

**The format of the game matters more than the players.** Mechanism design (19), Vickrey auctions (7), and the comparison between Cournot and Bertrand (3) all demonstrate that changing the rules changes the outcome, often more effectively than changing the participants. This is the structural insight behind incentive design, market microstructure, and organizational architecture.

**Commitment separates credible from empty threats.** Entry deterrence (4), chicken (5), the hold-up problem (18), and signaling (8) all hinge on whether an action is costly, irreversible, and observable. Any strategic analysis that does not ask "what has been sunk?" is incomplete.

**Coordination failure is as dangerous as competition.** Bank runs (11), stag hunts (16), and Schelling focal points (21) show that markets and organizations can fail not because participants are adversarial but because they cannot coordinate. The solutions — deposit insurance, phased commitment, standard-setting — are trust-building mechanisms, not competitive strategies.

**Behavioral realism modifies every prediction.** Prospect theory (14), fairness norms (15), and the war of attrition (17) show that real agents deviate from rational-actor predictions in systematic, predictable ways. Loss aversion shifts risk-taking, fairness norms constrain negotiation outcomes, and sunk-cost psychology extends conflicts past their rational endpoint. Any model that assumes strict rationality yields predictions that are directionally correct but quantitatively unreliable.

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## IX. Quick-Reference Matrix

| # | Model | Category | Primary Lever | Finance Application |
|---|---|---|---|---|
| 1 | Prisoner's Dilemma (Repeated) | Strategic Interaction | Discount rate / horizon | Price wars, cartel stability |
| 2 | Nash Bargaining | Strategic Interaction | BATNA | Salary, vendor contracts, JV terms |
| 3 | Cournot / Bertrand | Strategic Interaction | Capacity vs. price | Oligopoly analysis, industry structure |
| 4 | Entry Deterrence | Strategic Interaction | Sunk commitment | Moat analysis, predatory pricing |
| 5 | Chicken | Strategic Interaction | Credible irrationality | Takeovers, debt negotiations |
| 6 | Winner's Curse | Auctions & Pricing | Bid shading | M&A, IPO allocation |
| 7 | Vickrey Auction | Auctions & Pricing | Auction format | Ad auctions, procurement |
| 8 | Spence Signaling | Information | Costly signal | Credentials, dividends, buybacks |
| 9 | Lemons (Adverse Selection) | Information | Information gap | Insurance, credit, secondary PE |
| 10 | Moral Hazard | Information | Contract design | Executive comp, fund incentives |
| 11 | Bank Run | Coordination | Confidence / liquidity | Deposit runs, repo markets |
| 12 | Beauty Contest | Coordination | Higher-order beliefs | Bubbles, momentum, market timing |
| 13 | Information Cascades | Coordination | Sequential conformity | Analyst herding, VC follow-on |
| 14 | Prospect Theory | Behavioral | Reference point / loss aversion | Disposition effect, equity premium |

| # | Model | Category | Primary Lever | Finance Application |
|---|---|---|---|---|
| 15 | Ultimatum Game | Behavioral | Fairness norm | Fee negotiation, compensation |
| 16 | Stag Hunt | Commitment | Trust | Syndicated lending, standard-setting |
| 17 | War of Attrition | Commitment | Exit timing | Patent litigation, cash-burn races |
| 18 | Hold-Up Problem | Commitment | Specific investment | Vertical integration, lock-in |
| 19 | Mechanism Design | Meta-Strategy | Rule design | Comp structures, auction formats |
| 20 | Real Options | Meta-Strategy | Flexibility / staging | R&D gates, VC staging, earn-outs |
| 21 | Schelling Focal Points | Meta-Strategy | Salience / convention | Benchmarks, contract defaults |
| 22 | Cheap Talk | Meta-Strategy | Incentive alignment | Earnings guidance, sell-side targets |